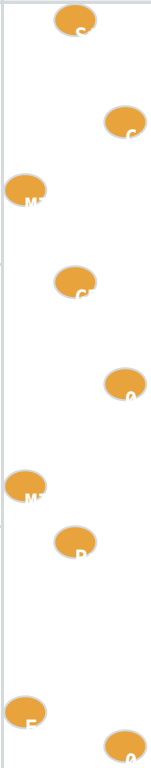
The most confusing part of MM is not creating documents but what happens in the books while the goods are in and the invoice is not. The answer is a temporary account, **GR/IR (goods receipt / invoice receipt clearing)**: a liability at goods receipt, cleared when the invoice arrives. This page explains the three-way match, GR-based IV, the four tolerances, invoice blocking and release, and the inverted route of invoicing before receipt.

1. What GR/IR is: an account that exists purely to wait for an invoice

Point in time	Business step	Accounting entry	GR/IR balance
① Goods receipt			
② Invoice			
③ Payment			

The GR/IR balance is itself a to-do list: a non-zero balance means either goods received without an invoice (credit), an invoice without goods (debit), or a quantity / amount difference. At month-end finance pulls **MB5S** and walks it line by line; anything long outstanding has to be accrued or cleared.

It is not a normal payable

GR/IR carries no vendor, so **you cannot pay it directly** and you cannot age it. Its only exit is invoice verification (or manual clearing with MR11). Vendor reconciliation runs through accounts payable (reconciliation account 160000), not through GR/IR.

2. The three-way match and GR-based IV

Invoice verification looks at three documents at once: the **purchase order (how much should be paid)**, the **goods receipt (how much actually arrived)** and the **invoice (how much the vendor wants)**. On the Invoice tab of the PO item there is a **GR-based IV** checkbox, and it decides whether an invoice may be posted before the receipt:

GR-based IV	Behaviour	Typical scenario
Ticked (default)	When MIRO references the PO it only proposes the quantity **already received**; with no receipt no item appears and no invoice can be posted	The vast majority of purchasing: receive first, invoice second
Not ticked	When MIRO references the PO it proposes the **ordered quantity**, so the invoice can be posted before the goods arrive (invoice first)	Prepayments, service purchasing, vendors who invoice early

The most common reason MIRO "will not open"

You enter the purchase order in MIRO and the item list stays empty, with only "no items to be invoiced" — nine times out of ten GR-based IV is ticked and **nothing has been received yet**. Either post the receipt in MIGO first, or remove the tick as described in the next section. The source material records this verbatim as "this one matters, this is where I had not ticked it".

3. IR before GR: removing GR-based IV

1. Copy two POs (create them in ME21N with reference to an existing order, or use the copy function), for example 4500014508 and 4500014509. `ME21N`
2. Receive **neither** of them, go straight into MIRO and reference the first one (GR-based IV still ticked) — no item appears. That is the default behaviour. `MIRO`
3. Change the info record with **ME12** and remove GR-based IV; then use ME22N to untick the same checkbox on the item of the second PO. `ME12`
4. Back in MIRO, reference the second PO: this time quantity and amount appear; enter the invoice amount and press ✓ to **post directly** (an invoice document is created). `MIRO`
5. The PO history now has an invoice number but still no receipt — GR/IR carries a **debit** balance (invoice in, goods missing). `ME23N`
6. Now post MIGO 101: stock +, GR/IR credited back, GR/IR returns to zero; the PO history has both lines and still-to-be-delivered drops to 0. `MIGO`

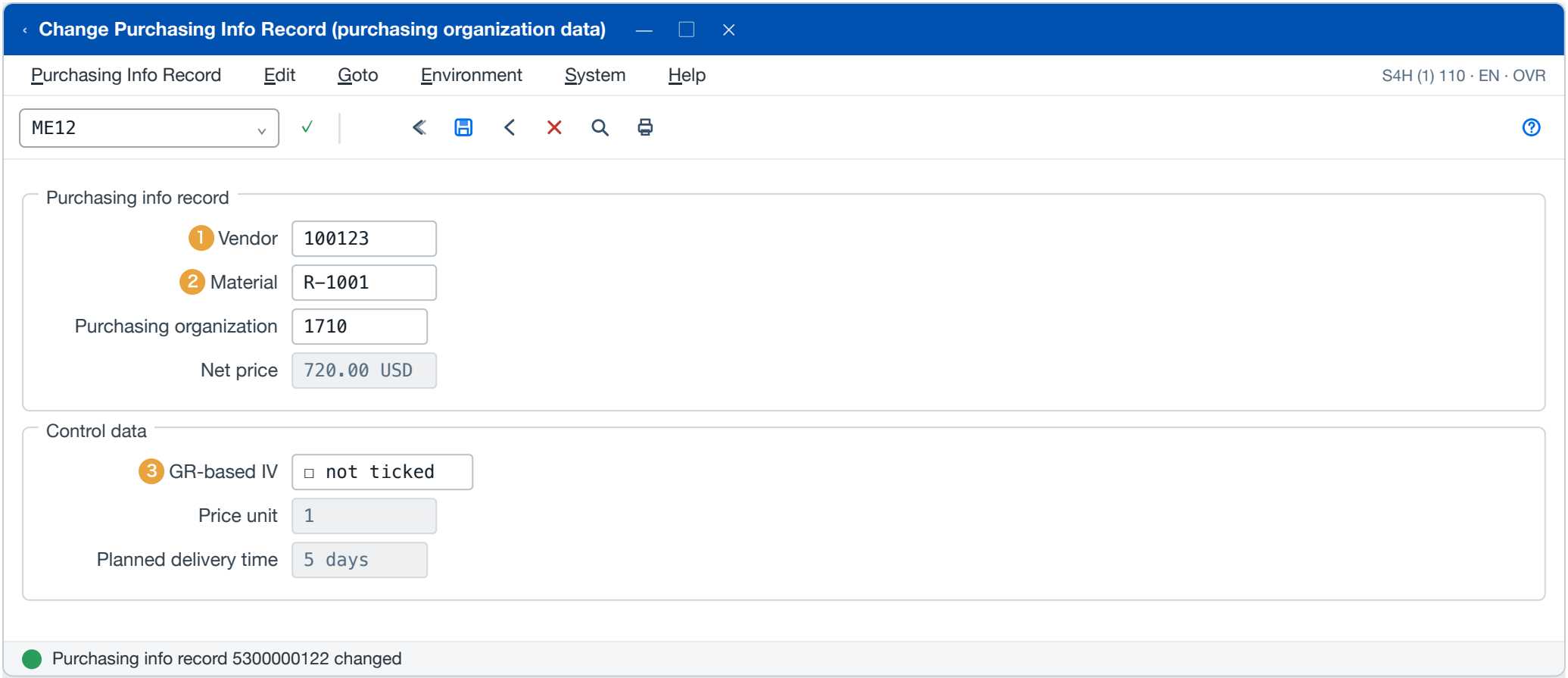


Figure 6-1 Removing **GR-based IV** in ME12 only affects POs created **afterwards**; POs that already exist need ME22N, unticking it on the Invoice tab of the item. This is easy to miss: change only ME12 and the old PO still refuses to propose unreceived items.

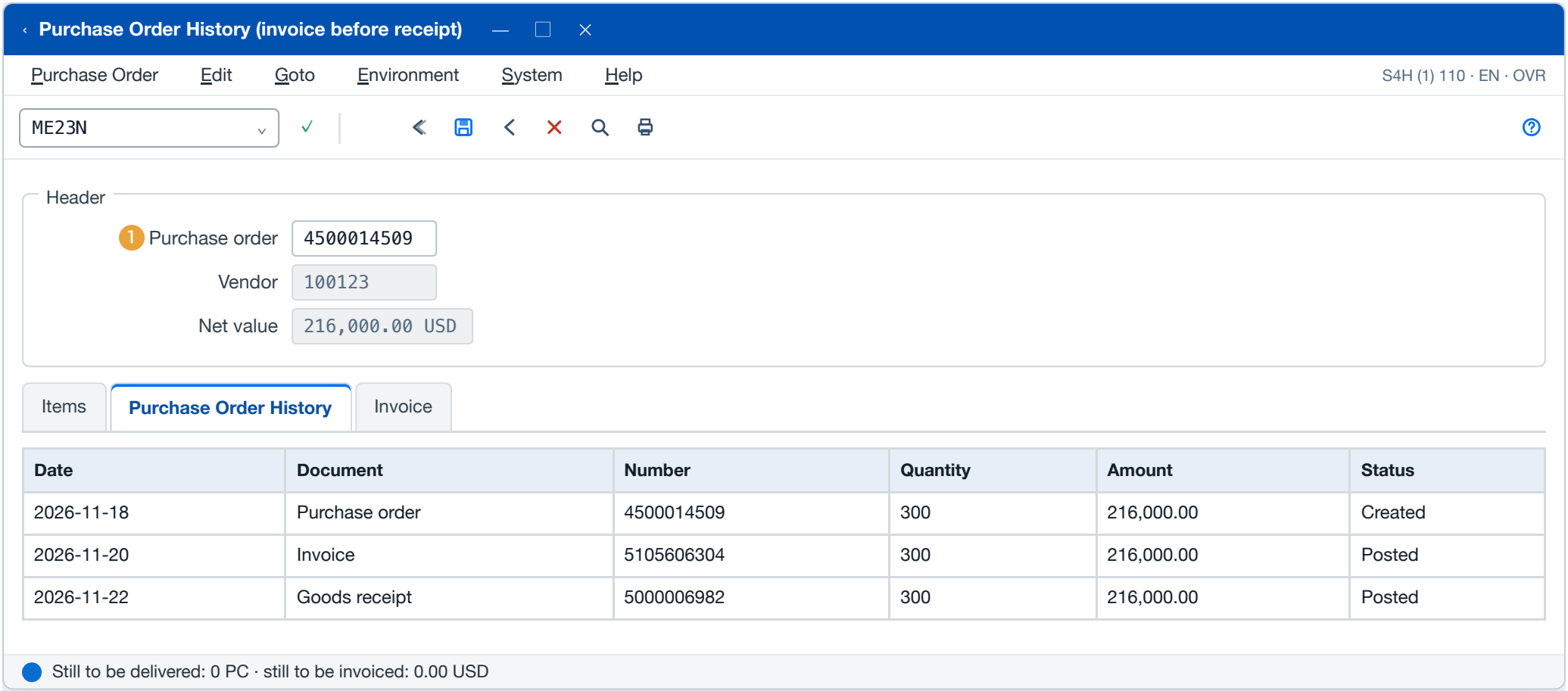


Figure 6-2 With invoice first, the PO history shows **invoice above receipt**, yet both lines eventually exist. The two figures "still to be delivered / still to be invoiced" are more reliable than the status: only when both are 0 is the order finished.

4. The MIRO entry screen: five fields decide whether the invoice posts

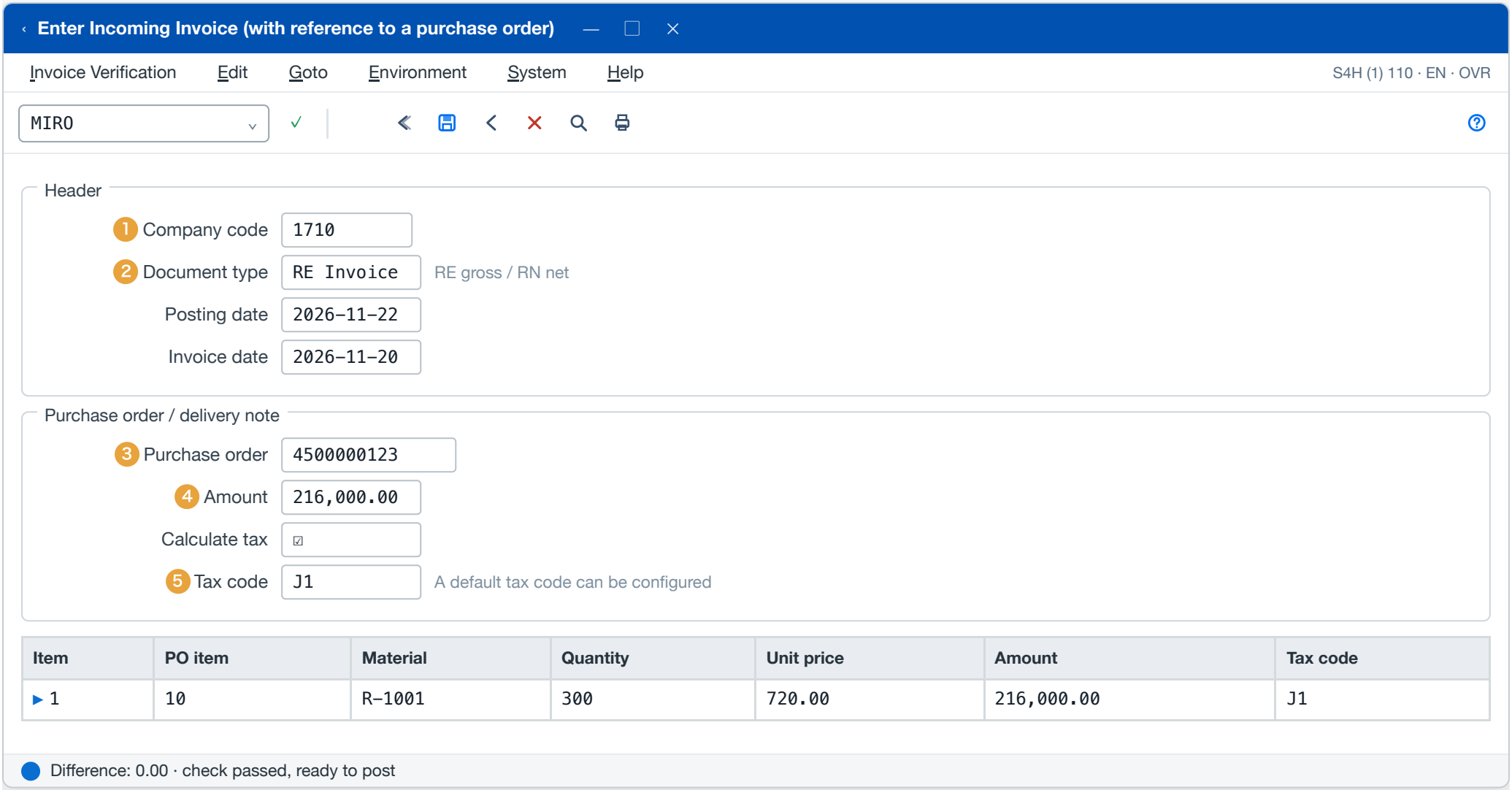


Figure 6-3 MIRO needs only five key values: company code, document type (RE invoice / RN credit memo), purchase order, invoice amount and tax code. After the check, the **difference** in the status bar must be 0.00 before you may post; a non-zero difference goes into variance handling (next section).

5. The four tolerances (OMR6): how much difference counts as acceptable

Tolerance key	Name	How the system calculates it	What happens beyond it
BD	Form small differences (rounding)	If the absolute invoice balance is within the upper limit it is posted to a small-difference account and the gap is closed	Above the limit the difference cannot be absorbed — error
DQ	Quantity deviation	With a receipt: net price × (invoice quantity – (delivered – invoiced)); without a receipt: net price × (invoice quantity – (ordered – invoiced))	Beyond it: quantity deviation exceeds tolerance
PP	Price change	Per line, the difference between invoice quantity × net price and the order net price, compared with the upper and lower limits (amount and percentage)	Beyond it: M8083 price too high — the invoice must be blocked or the amount corrected
VP	Moving average variance	After posting, the moving average price is recalculated and the percentage deviation from the old price compared	Beyond it: moving average price variance exceeds tolerance

Tolerances are configured per company code

The first key in OMR6 is the **company code** (because invoices are booked per company code). Different company codes in one group can therefore use different tolerances; on top of that a tolerance group can be assigned in the **vendor master** (one per vendor per company code), used to loosen or tighten the limits for specific vendors.

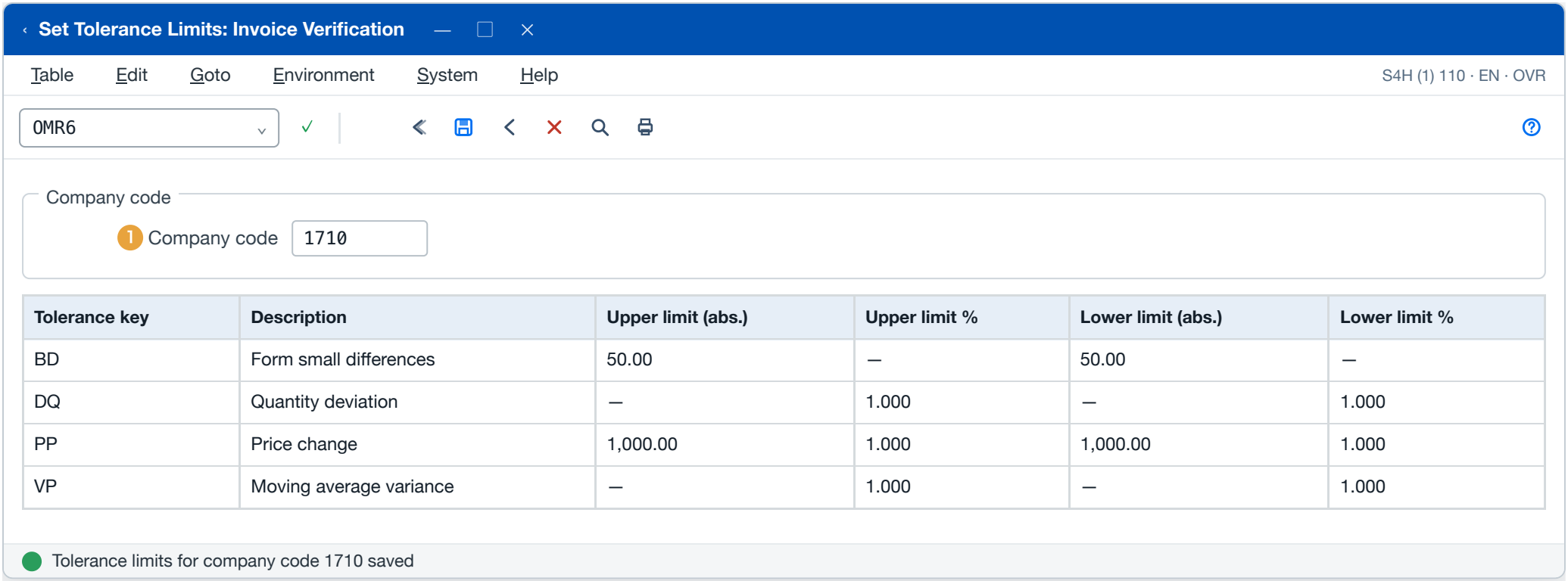
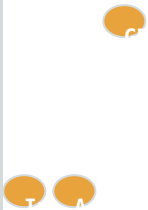


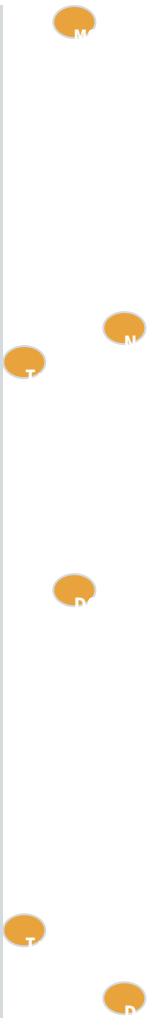
Figure 6-4 One row per tolerance key in OMR6. **Absolute amount** and **percentage** can both be set and the system checks both, taking the stricter one. The table above shows typical teaching values: rounding differences up to 50 are absorbed, a price difference up to 1 % passes and anything beyond reports M8083.

6. Invoices with a variance: two possible outcomes

Situation	Example (300 PC, order net price 720.00)	System behaviour	Accounting result

Difference within tolerance	
Difference within tolerance and very small	

Difference beyond tolerance	
Quantity mismatch	



To post to a variance account by hand, enter the account number on the G/L account tab of MIRO. Note that **the debit/credit direction is the opposite of a normal invoice**: a normal invoice credits payables, and the direction of a variance line follows the increase or decrease of the invoice amount — get it wrong and the system reports that debits and credits do not balance.

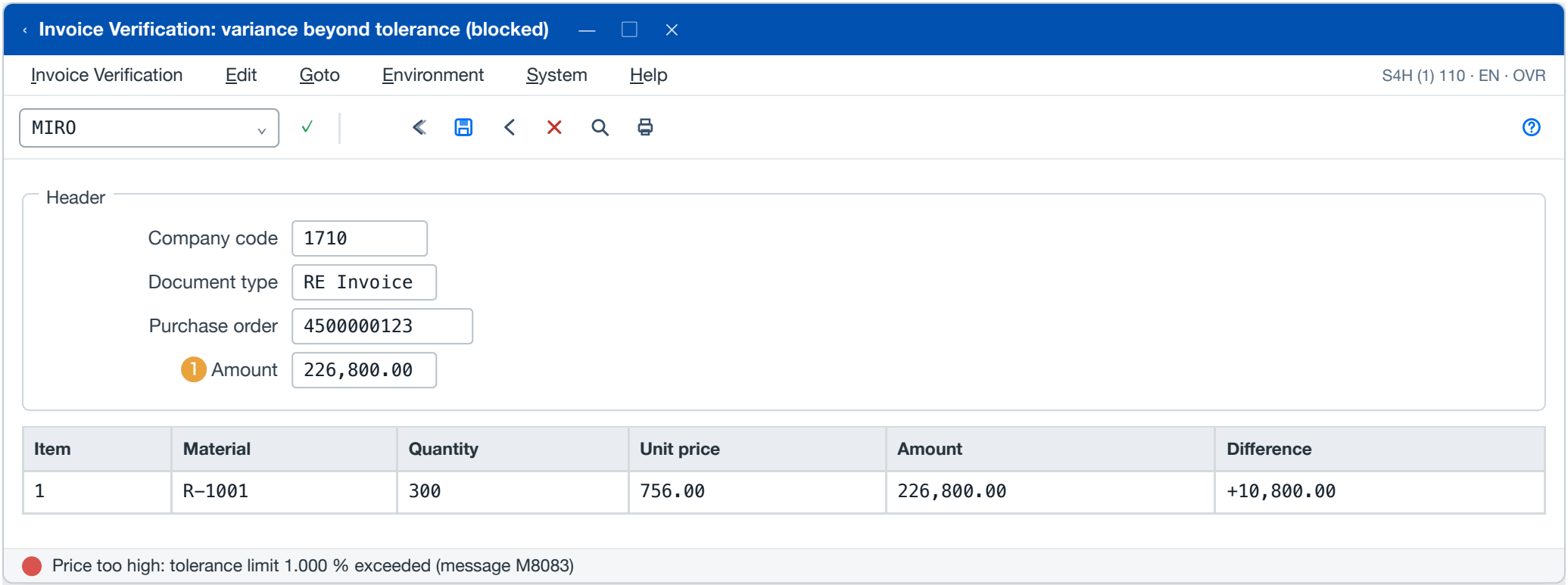


Figure 6-5 Beyond tolerance the invoice cannot be posted directly, but it can be **saved as a blocked invoice** (the status bar returns the invoice number). A blocked invoice never reaches payables until MRBR releases it; before release MIR4 shows the blocking reason.

7. Blocking, release and parked invoices

Transaction	Purpose	When to use it
MIRO	Enter and post an invoice (or save it as blocked)	The normal check
MIR7	Park invoice: saved without an accounting document, editable any number of times	While the amount is still being negotiated or approval is pending

MIR4	Display the invoice document (blocking reason, variance lines, follow-on documents)	To find out why this invoice has not reached payables
MRBR	Release blocked invoices (in bulk by company code / vendor)	Once approval has been given
MR11	GR/IR clearing: write off long-outstanding receipt / invoice differences by hand	Month-end clean-up of small residuals and dormant GR/IR
MB5S	GR/IR balance list (per PO item)	Month-end reconciliation, hunting "received but not invoiced"

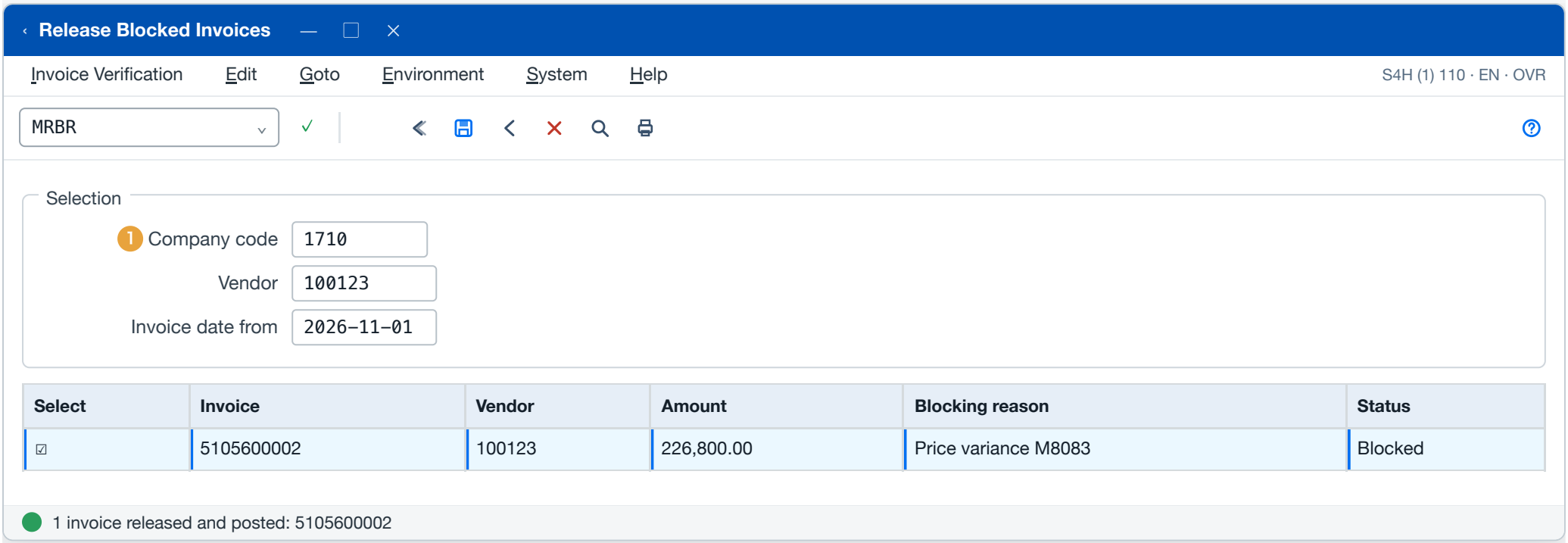


Figure 6-6 Tick the row in MRBR and execute: the invoice posts immediately and payables appear. The release itself changes no amount, it only opens the manual-approval gate — so the variance account and tax code must already be correct before release.

8. The GR/IR balance: the last report of the month

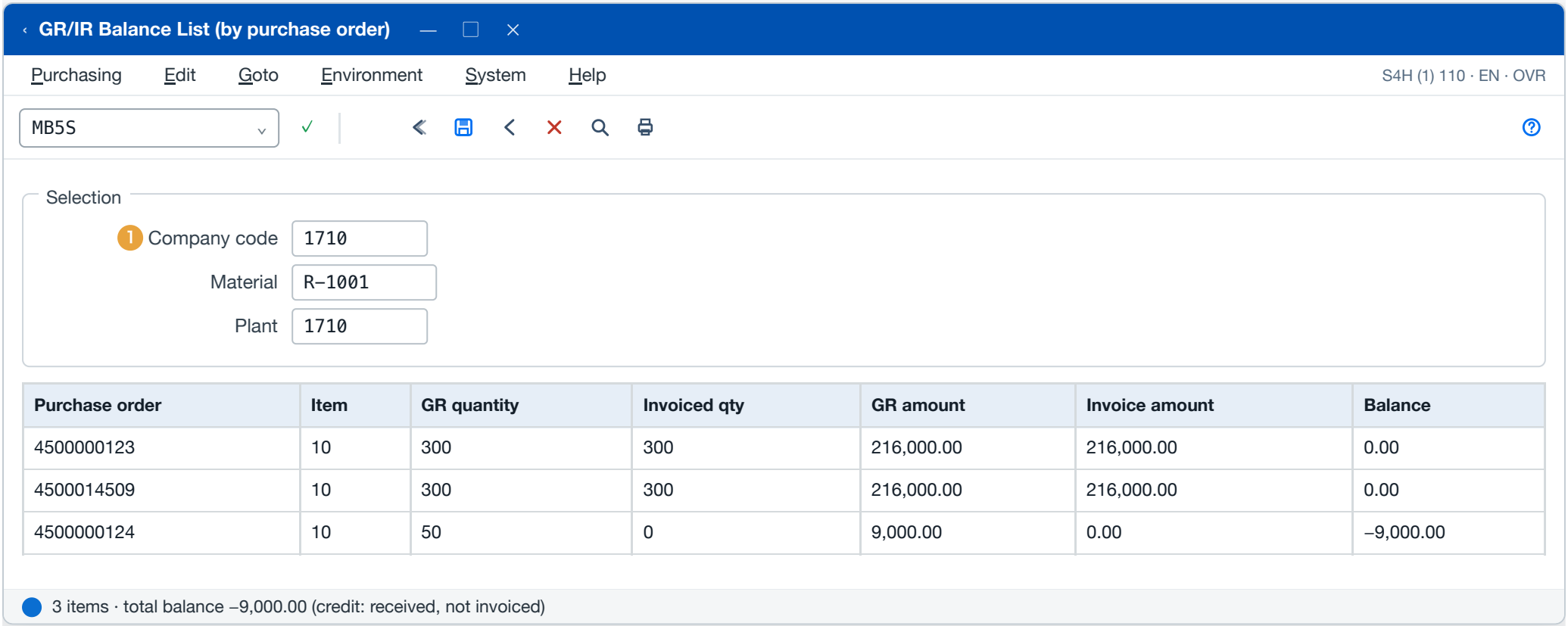


Figure 6-7 One row per PO item in MB5S. **A negative figure means a credit balance, i.e. received but not invoiced** (GR/IR is a liability account, so a credit is often shown with a minus in reconciliation reports); a positive figure means invoiced but not received. Whatever is left on this report at month-end must be chased, accrued or cleared with MR11.

9. Pass criteria and error comparison

- ☐ MIRO posts 300 PC / 216,000.00 successfully and the status bar returns the invoice number; the Invoice line in the ME23N history carries it.
- ☐ The balance for that PO in MB5S returns to 0.00.

- [ ] Change the invoice amount to 226,800.00 and try again: M8083 is reported; saved as blocked, MIR4 shows the blocking reason.
- [ ] After MRBR releases the blocked invoice, payables rise by 226,800.00 and the price variance account shows 10,800.00.
- [ ] Remove GR-based IV in ME12, create a new PO and go straight to MIRO without a receipt: items appear and the invoice posts, while the PO history has no receipt.
- [ ] Receive afterwards in MIGO: the MB5S balance returns to zero and both PO history lines are complete.

Screen message (as shown)	Root cause	Check first
No items to be invoiced / no items selected	GR-based IV is ticked on the PO but nothing has been received	ME23N item Invoice tab; post MIGO first, or untick in ME12/ME22N
Price too high: tolerance limit 1.000 % exceeded (M8083)	The invoice unit price deviates from the order net price beyond the PP tolerance	The PP row in OMR6; whether the net price in ME23N was changed
Quantity deviation exceeds tolerance (M8147 and similar)	Invoice quantity deviates from received / invoiced quantity beyond the DQ tolerance	The DQ row in OMR6; whether MIGO received too little
Invoice is blocked, payment not possible	The invoice is still blocked and has not been released	MIR4 for the blocking reason → MRBR to release
Account 191100 cannot be used (or similar)	The GR/IR account is not configured in OBYC under WRX, or the valuation class has no account	OBYC (WRX), OMWB automatic postings
Difference is not zero, posting not possible	The invoice amount does not match the net value and exceeds tolerance, or the tax code is wrong	Recalculate tax; use a variance account line if needed

One sentence to remember how GR and IR relate

GR increases stock and credits GR/IR; IR brings GR/IR back to zero and increases payables. Either can come first, but quantity and amount must agree on both sides; when they do not, the system does not "work it out" — it uses the tolerance to decide whether to pass the difference to a variance account or stop and ask a human.